

An Overall Analyses of Apple Company

Marco Li^{1, *, †}, Yuxuan Sun^{2, †}

¹ School of Shanghai, Gold Apple School, Shanghai, China

²School of Shandong, No.9 High School, Qingdao, China

*Corresponding author: YuxuanSunCQSS@cseec.education

[†] These authors contribute equally.

Abstract. Apple has many times been the world's most valuable brand, its products and services powerful enough to influence the tastes of a generation. As a result of pandemics recently, the global economics has been severely impacted, and the operational risks faced by Apple have also expanded. Based on the business strategy and profit model of Apple Company in recent years, we will use the two investment methods of NPV and IRR to analyze the current data and make a rough forecast for the future market. This study provides implications for investor to evaluate corporate value.

Keywords: Financial analysis; Financial ratio; SWOT analysis; NPV and IRR.

1. Introduction

Apple company is a new and fast-growing company that has been sweeping the world since the beginning of the 21st century and is now among the top 500 companies in the world. The company offers innovative products such as consumer electronics, personal computers, servers, and computer software [1], which are also very popular with consumers. Apple's iPhone smartphone is a widely discussed product, and when you walk down the street you can see pedestrians using iPhones in any country or region, which is not the case with many brands of mobile phones. To meet the needs of its customers, Apple's total number of employees in 2021 was 154,000, a 4.76% increase from 2020 [2]. They will look at ways to improve iOS to give consumers a better experience and provide professional advice in physical shops, and because of its size, Apple is a major player in the world. employs a lot of smart, diverse, and creative people.

Apple was the first to come up with and use many of its product concepts, and its focus on investing in software development behind the scenes and having outperformed its peers for several years has been a strength. However, when the software gap has slowly caught up with its peers, it has been able to quickly leave the baggage behind and launch new software ecosystems to continue to lead the way in new industries. In addition, in the consumer electronics sector, the brand value spillover from Apple's technological leadership has forced other companies to incorporate the development of new technologies into the way they operate, a competitive approach that has also driven technological development and technological advancement. Before Apple, many large companies developed many innovative technologies but did not effectively link them to their products, and their knowledge was used to eat up old technology dividends before launching new ones, this has somewhat hampered commercialization and the speed of research and development.

The ongoing Covid-19 lockdowns in China are set to make a huge dent in Apple revenue for the April-June quarter as the company has indicated up to an \$8 billion loss in sales especially owing to the Shanghai lockdown [3]. In this paper, the history and operation mode of the company are briefly introduced, and the loss caused by the epidemic is put forward. In the following, it also studies the peripherals of products, the risks of fake products, and certain social impacts, and puts forward some countermeasures and solutions to help people understand how Apple can further operate in the COVID-19 era and maintain the expectation of the future market.

This paper is divided into four main parts. The first part is the introduction, focusing on the background of the research object, the purpose and significance of the research, and the basic content. The second part involves an in-depth analysis of Apple. It consists of three models to provide the

conclusions of this research work. First, company strategy will be discussed to understand how strategic arrangements support Apple's operations. Then using the SWOT analysis method, we will finally analyze the data for as many years as possible to analyze the market trend more clearly.

2. Business Analysis

2.1 Apple Business Strategy

The Apple company is a highly integrated company. It has a simple and unique design style and many special world-leading professional technologies. It mainly adopts four important business strategies. (Focus on product design and functionality, enhance customer experience, strengthen Apple's ecology, reduce your reliance on the iPhone part) First of all, we should pay attention to the design and function of the products. We should all have seen or used Apple products in the 21st century. Most people will be attracted by the special design of his profile, the easy-to-use system, and the freedom use of the home page. At the same time, their powerful functions, such as strong product association, are excellent helpers for work and life. That's why more people choose it. Second, improve customer experience. In the physical store, people can try different products one by one to find what you really need. The staff will provide you with product warranty and various after-sales services, which includes one-to-one teaching of products to help you understand them better so that consumers can use them proficiently in the future. The third point is to strengthen Apple's ecology. Apple has the advantage of being known as a company with its own unique system. The company's products and software can achieve a high degree of compatibility, which is why most customers are satisfied and choose it. Every year Apple company really optimizes different product Settings to make them easier and more acceptable. Nowadays, when people talk about Apple, they pay too much attention to the mobile phone, which leads Apple to rely too much on the iPhone, even now the iPhone has become the main force of Apple's product sales. The company needs to pay equal attention to the development and development of other products.

Apple now has 13 generations of phones and has made a lot of changes. The Macbook and a few other successors are scarce, and Apple is now accelerating development of computers and tablets, as well as some peripherals, to reduce its reliance on phones.

2.2 SWOT analysis

We can use the SWOT model to know the internal and external environment of the survival of the enterprise, settle the thought of the business management. We can make the systematic and the mathematical study of the research object. Then we can formulate the development strategies, schedules and make a countermeasure according to the research consequence. In decision making, the comparison between the strengths and the potential weakness, opportunities and threats of different schemes, so as to choose the correct and scientific method.

2.2.1 Strengths

Development of equipment which is considerable for Apple, the sector is concentrated on personalized cutting-edge computers and the intelligence technology devices. Innovation is the indicator which keeps the company remains competitive with each other and the core ability to reflect. The objective of Apple is determined to make more better for the client and more proficient technique. Apple places a high priority for the quality of the product. The professionals prefer high-performance technology such as Imacs and mac pro for visual design, animation and other innovative effect. Furthermore, the research and development for the Liam which have the sustainability for future. It is a recycling robot that break down and dissects the iPhone [4]. It combines the automation operation for separating the components of unusable iPhone, such as pure plastic, metal of wire or glass fragments. These reusable parts can be categorized and stored that they can used for manufacturing. The gross profit for Apple is undoubtedly higher, the fundamental principle for the Apple is the quality and the technology even the details of packing, that wonderful sight and touch set the tone for

consumers [5], the premium price for the brand is higher. Therefore, the high-tech product increases the value of the brand, but also bring huge profits to the corporation. The quarterly report demonstrates the ability of the company to resist the risk. The release of the new products such as iPhone14 in autumn is expected to drive the growth of the industrial chain. In the long run, the Apple's software system and hardware system integration, strong product strength and the high-end market dominance make the business of the company more visible and stable. The product competitiveness will become a magic weapon for the Apple's mobile phone sector due to the weak demand of smart phone in 2022 [6].

2.2.2 Weakness

Apple involved too many types of products. As the progress of technology, the corporation of Apple made the product from MP3, computer to iPad. Apple not only made the hardware series, but also the operating system and application are contained. The correlation coefficient between the devices is highly positive correlated, so the risk for the company is higher due to the volatility. With the development of technology, the products produced by many brands have reached a higher cost performance ratio [7]. It leads too many competitors competing with Apple. Although in these years, Apple keeps pace with the market due to their innovation. As can be seen from the financial statement from 2019 to 2021, the revenue has increased hugely from 260.2billion to 365.8billion dollars. Once the market declines or there is any decision-making error. It influences the whole cash flow and break the whole layout of the market. Secondly, the external world is increasingly dissatisfied with Apple. In the era of Jobs, the strategy was absolutely advanced and Apple solidified the grounds by mastered the loyalty fans. Also relies on its iconic and flagship retail store. Apple does not feel they need to put funds in the advertisement in comparison to the other big brand of the corporation.

2.2.3 Opportunity

The high quality and cutting-edge technology of Apple products have attracted many consumers and steadily grown. Because of the professional team and strict management, Apple is able to constantly create new opportunities. Meanwhile, Apple's products are more focused on people's lives. They put forward artificial intelligence and wearable technology in early time, and applied them to daily necessities such as watches and cars to realize real-time monitoring of physical conditions and Kia self-driving cars. High-tech products built on new technologies will surely be needed by more residents in the coming years. In addition, they make smart speakers in music, dominate the market, and expand their music streaming service to 52 emerging markets [8]. The exclusive chip has also become a reason for many people to choose the company. However, the company has yet to create environmentally sustainable technology, which is also a very competitive future opportunity.

2.2.4 Threats

Nowadays, Apple's Oems production mode is affected by novel epidemic, which has greatly affected Apple's business in recent years. At the same time, the disadvantages of the product are constantly amplified. AirTags technology is used as a tracker to affect privacy, and the battery consumption of the product is too fast and other issues always make it stand in the forefront of public opinion. In addition, the competition in the market intensifies, many other product companies apply their unique technology in their products, even some companies make imitation of Apple's products, and also produce fake products, which may reduce consumers' trust. At the same time, the tariff differences between the United States and other countries also affect the product prices, and many politicians and entrepreneurs criticize the company, which may cause negative news and affect the society's perception of the company.

3. Financial analysis

3.1 NPV

Net present value is the indicator that is used to evaluate the project when the investor make investment. Generally, if the net present value is greater than the initial investment based on the discount rate. It is feasible for this method. The better the scheme, the higher the expected profit you can obtain.

The following financial data analysis for the Apple contains the project, the operation, the budget, the services and other adjustments of the company. The main standpoint for the company is to know the macro environment of the market and profitability. The performance is extremely important for understanding the situation of the company, the analysis will be divided into two parts: the solvency and the profitability. These indicators judge whether the financial status of the insurer can guarantee its performance of financial responsibilities and the net profit bring to the company. The data below is the table which all the required data is collected from the AAPL (Apple, Inc.)

Table 1. AAPL financial data analysis

	21/22Q1	21/22Q2	21/22Q3
Return on asset (ROA)	+17.36%	+9.11%	-4.38%
Net profit margin	+8.38%	-2.21%	-12.14%
Gross profit margin	+9.26%	+1.37%	-0.46%

The gross profit is the basis of business profit. The percentage of the operating income and the expenses paid is gross profit margin. The performance of the company exceeded the expectations, and the product portfolio optimization kept the gross profit margin at a high level as you can see on the table. But in 21/22Q3, there is a slightly declined about 0.46% that means the costs of the raw material rises, such as the slug technology. Second, the net profit margin refers to the percentage of the net profit from the operation in net sales. It measures the profitability of the company which shows the economic value of net profit created by sales revenue. The net profit margin decreased to the trough to 12.14%. As for the decline in net profit, Apple's chief executive officer also admitted in the financial report that high inflation, COVID-19 and other macroeconomic conditions that affected the financial performance of the company, especially in wearable devices and Internet advertising [9]. The research and development costs increase and the iPhone business highlights toughness, the sales of iPad, Mac or wearable devices are affected by the supply constraints. so Apple impacted by supply chain, it was less than expected. Thirdly, the return on asset is a very beneficial ratio for analyzing the profitability of a company. The high or low return on the return on asset directly reflects the competitive strength and development ability of the corporation. If the return on asset is high, it indicates that the utilization efficiency of the asset of the enterprise is really fantastic, the whole ability of the enterprise is relatively strong, and the management level is quite higher. It is clearly to see that the return on asset in 21/22Q3 has declined 4.38%. Therefore, the consumption is less than the expected, the new products of research and development are less expected. The supply chain is exacerbated.

3.2 IRR

Internal rate of return is the discount rate which the net present value is equal to zero. In general, it is accessible when the internal rate of return is greater than the benchmark yield. We can intuitively give the statement of the financial project through the IRR.

The debt ratio is the most commonly used measure of capital results. It is also the core indicator for the long-term solvency ability. From 21/22Q2 to 21/22Q3, there is an upward trend for the debt ratio of Apple. This shows the company tends to be in debt when acquiring the assets in these quarters. In the era of Jobs, the debt ratio for Apple is basically at 30%, but in 2022, it achieves to 82.72%.

Table 2. Solvency ratio for the Apple

	21/22Q1	21/22Q2	21/22Q3
Gross liabilities	3092.58billion	2832.63billion	2782.02billion
Total asset	3812billion	3507billion	3363billion
Debt to asset ratio	81.13%	80.77%	82.72%

As we can see on the table, the debt to asset ratio for the Apple is relatively higher. In 21/22Q3 the ratio is approximately to 83%. The results for higher debt to asset ratio increase the liquidity of risk. On the contrary, if the liquidity is no longer loose, then the risk will arise for the company which Apple has reflect the stronger ability. Also, the epidemic situation has affected to the Apple, the supply chain has been seriously damaged [10]. This damage spread to their financial analysis, Apple claims that the disruption of this business is only temporary. Overall to said, the situation of the financial analysis is excellent. its investment return on the shareholders is rational, and there is a stronger expectation for future cash flow because of their strong strength.

4. Conclusion

For the comprehensive conclusion for the Apple market, it is clearly to know that the total value of the market has a slightly upward trend from the financial data analysis. Apple is still the producer of the world including the innovation of services, the production line is also enhanced. In terms of the sales volume, the market outperformed the global overall smartphone market for the ninth consecutive quarter. The Apple occupied approximately to 60% of the sales of the higher cutting-edge smartphone. From the SWOT analysis Apple has much potential in creating the sustainable techniques in the future due to their innovation and the ability. The market also has higher competitive force in the future opportunities. However, although the innovation is extraordinary, the aesthetic ability and the quality ability of producing the products are high-end, and the concept of integrating the soft and hard has been established. The limitation is also obvious. The market is still not walk out the model of the hardware system. The core competitiveness lies in the innovation of the production and the interactive design. With the increasingly demand of the market, the innovation is both an advantage and the disadvantage. It has never formed the business cycle in the market which rely the brand to form the product payback. The development of the business is always following the business of cycle which the perspective of the users providing a more fundamental direction and the possibility for the evolution of the market. Apple said that they will do better on the future total strategies and make more advanced artificial intelligence. The enterprise still continues to evolve a perpetual terminal for the devices.

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